Canada Payment Fraud Survey

Winning the arms race in a real-time, AI-enabled consumer fraud landscape



Foreword

This report explores five key types of payment fraud and discusses how to address a series of emerging fraud threats in Canada's evolving payments system. These include the growth of synthetic identity fraud and – given the planned introduction of the new real-time payment rail in Canada – the heightened risk of authorized push payment fraud. To help firms build robust defensive strategies, we present the results of a survey of 1,000 Canadian consumers with the aim of exploring their experiences of fraud, attitudes towards fraud prevention and desired balance between security and convenience.

Payment fraud – increasingly globalized, industrialized and technology-enabled – is a serious concern for Canadian consumers and the payments industry. Our survey finds that 36% of consumers have been the target of attempted payment fraud over the last two years with, for example, 37% of these noticing a purchase they did not make, 32% spotting a phishing exercise, and 20% suffering attempted card or card data theft.

Consumer confidence arguably needs strengthening. Only 33% of our respondents feel 'very confident' that their primary financial institution will protect them from payment fraud, while 52% are 'somewhat confident' and 16% feel neutral or lack confidence. Consumers think the most concerning types of payment fraud are card or card data theft (named by 45%), identity theft (also named by 45%) and account takeover (41%).

Fraudsters increasingly view customers themselves as the weakest link in fraud prevention. However, banks and other payments services providers must strike the right balance between robust fraud prevention and preserving an attractive customer experience with the right degree of customer autonomy.

We therefore also polled consumers on their preferred balance of security versus convenience, their faith in modern authentication technologies, how informed they feel about the 'deep fake' threat, and other key attitudes. One result sums up consumer worries: 78% of consumers think that voice biometrics and facial ID are either not fully secure or are under future threat, given advances in 'deep fake' technology.

The survey results are presented in more detail in a series of infographics throughout this report. They also inform our discussion of five key types of fraud:

- account takeover
- authorized push payment (APP) & social engineering
- payment card & emerging digital payment fraud
- identity & synthetic fraud
- insider-driven fraud.

As well as identifying the key trends for each fraud type, Capco's Canadian team of payment fraud experts highlight strategies for improving defenses including:

- the need to move towards real-time detection and prevention using a variety of risk signals
- the application of AI to facilitate detection and other defenses
- appropriately layered defense strategies
- multi-factor password-less authentication
- wider network information and improved cross-industry collaboration
- new customer and employee risk-scoring metrics
- just-in-time customer education to highlight red flags to the customer at the right place and time.

Threats are evolving fast but, as our discussion makes clear, so are the available defenses. Payment market participants who apply the right strategy, tactics and tools can win the payment fraud arms race and reduce fraud costs while also strengthening customer confidence.

Read on to learn more about fast-evolving consumer attitudes, new fraud trends, and how to win the payment fraud arms race using the latest technologies, strategies and industry partnerships.



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Account Takeover

Account takeover involves fraudsters gaining control of bank accounts using stolen credentials in order to transfer funds, apply for credit, create mule accounts and similar.

Account takeovers are being fueled by an explosion in stolen credentials circulating on the dark web, combined with an increasingly sophisticated use of technology to attack accounts, craft phishing emails and fake websites, mine social media and impersonate customers.

In our survey of 1,000 Canadian consumers for this report, 41% selected account takeover as among the top four most worrying kinds of payment fraud – making it the third most concerning type of fraud after card and card data theft (45%) and identity theft (also 45%).

Over a third of our sample had experienced attempted payment fraud in the last two years, with 13% of these saying someone had tried to take over their account and 32% noticing phishing attempts.

Attempts to steal credentials and assemble information have been scaled through mechanisms such as large offshore operation centers manned by teams of fraudsters, and automated 'brute force' attempts to crack passwords and steal and apply other credentials.

Fraud rates increased with the pandemic-driven rise of e-commerce, as customers increasingly stored their card information online – often reusing passwords and other credentials across multiple accounts.

Payments Canada report that 19% use the same password for multiple accounts, while six per cent have given out their personal and banking details via email or text message.[1]

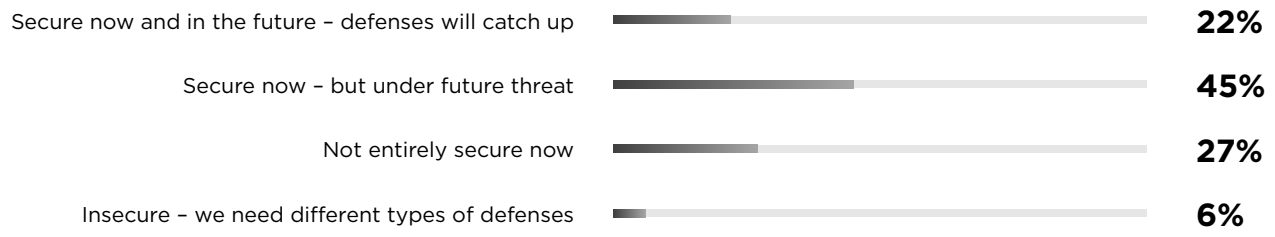
With many consumers now regularly buying from stores that have no physical footprint, consumers are finding the payments environment more confusing than in the past – making it easier to trick people into clicking on links that harvest credentials.

The relatively weak state of consumer finances in Canada is another factor driving up fraud.[2]

Attackers are increasingly able to bypass some forms of multi-factor authentication (MFA) used to prevent account takeover and other frauds.

> "A key way to prevent account abuse is to alert the customer whenever they appear to have applied for a credit product or higher credit limit.

Do you think voice biometrics and facial ID is secure, given advancing 'deep fake' technology?



21% of respondents find biometric scans (face/finger) frustrating or inconvenient
18% of respondents find voice biometrics frustrating or inconvenient

Techniques include intercepting one-time pass codes in real time, conducting sophisticated adversary-in-the middle and session hijacking attacks, and compromising or cloning mobiles and SIMs.

Even app-based push MFA is no longer immune, as attackers employ social engineering or MFA-fatigue attacks – bombarding users with authentication requests until a minority succumb.

'Deep-fake' and AI-enabled impersonation, meanwhile, presents an emerging risk with the potential to undermine some biometric defenses and enable the social engineering of call center operatives.

The public debate about AI-enabled fraud is driving consumer concern around authentication technologies.

Our survey found that only 22% of respondents think voice and facial ID is secure now and will remain so in the future, given the advance of 'deep fake' technology – with most thinking it is not entirely secure now (27%), simply insecure (6%) or under future threat (45%).

Strengthening defenses

As payments become faster, more interoperable and irrevocable, due to changes such as Canada's planned introduction of the new real-time-rail (RTR) and the shift to open banking, account take-over has the potential to be even more damaging and difficult to contain for institutions using legacy systems, siloed detection and less secure authentication.

Strengthening defenses means increasing emphasis on strong customer authentication (SCA) principles as formalized by the EU's PSD2, which require at least two independent factors such as something the customer knows (e.g. a password or PIN), something they possess (e.g. a registered device) and credentials inherent to the customer (such as their biometrics).

Modernizing defenses will require a continuing shift away from SMS one-time-passwords and towards phishing resistant, device-bound authentication models, including app-based and cryptographically-secured approaches that bind authentication to a specific device and user.

At the same time, institutions will increasingly apply risk-based controls to step up authentication for higher-risk customers, sessions and transactions.

Fully password-less authentication will become more important, especially for log-in. Open standards such as FIDO2 (Fast Identity Online 2) can help deliver phishing-resistant authentication using device-bound cryptographic keys, often unlocked locally using methods that reduce customer friction while keeping security strong, e.g. sophisticated biometrics that keep pace with fraudsters attempts at circumvention.

In the box below we highlight some key tactics to reduce account takeover including adopting phishing-resistant MFA and session-anomaly detection.

Improvements are likely to include a greater use of biometrics with 'liveness' checks to confirm the physical presence of the customer and other 'deep fake' detection.

Modern 'liveness' checks can include a range of measures from 'active liveness' checks that challenge a user to do something, to 'passive' liveness checks that monitor images for issues such as skin microtexture, lighting consistency, depth of field, and subtle signs of genuine human movement and facial expression.

Key tactics to reduce account takeover

- **Adaptive, phishing-resistant MFA across all channels, with passkeys/FIDO2 as the target state.** Use number matching and prompt throttling where push MFA remains. Passwordless, device-bound authentication for customer login.
- **Behavioral biometrics & session anomaly detection.** Capture keystroke, mouse movement, session velocity, device posture with detection of deviations in real time.
- **Account takeover risk scoring.** Combine signals such as IP risk, device change, geolocation, new device fingerprint, impossible travel, and unusual navigation patterns for every session.
- **Contact center authentication hardening.** Multi-layer identity verification such as voice biometrics + behavioral cues + out-of-band challenge; 'deep fake' voice detection where feasible.
- **Automated session hijack prevention.** Token binding and anti-phishing MFA flows, with automatic session invalidation based on risk triggers.
- **Credential stuffing prevention.** Implement bot mitigation and real-time login anomaly scoring to block credential-stuffing campaigns.

More broadly, payments market participants should institute regular detection gap analysis and replace static attack detection rules with more unified, dynamic and continuous approaches.

These approaches bring together in real time many different risk signals such as those generated by customer identity and access management (IAM) frameworks, IP and device identifiers, navigation patterns, fraud detection, and ongoing behavioral analytics and session anomaly tracking to score fraud risks for each customer and each session.

Banks will need to move towards continuous account monitoring that applies machine learning to uncover ever more subtle behavioral risk signals.

Not all improvements need to be driven by new technologies. If accounts are taken over, a key defense against further abuse is to alert the customer whenever they appear to have applied for a credit product or higher credit limit.

However, banks and other payments market participants will need to balance security and customer convenience.

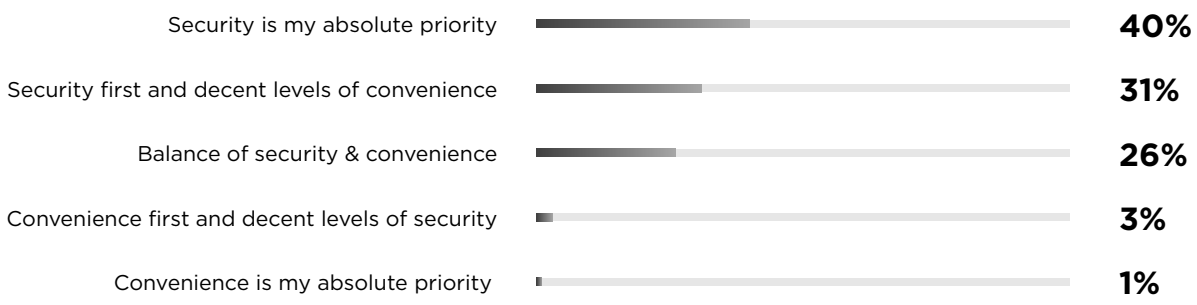
Too many alert messages and blocked accounts generate user fatigue, leading customers to resist taking up new products or motivating them to switch institutions.

As our survey reveals, most customers value security over convenience but they do so to different degrees: 40% say that security is their absolute priority; 31% put security first but also prioritize decent levels of convenience; and 26% prefer a more equal balance.

Building the right strategy therefore means understanding customer attitudes and allowing customers to personalize their security levels and requirements, while also taking account of institutional risk appetite, fraud tolerance and key business goals.

Action will often need to be organized at an enterprise level, such as integrating identity risk management across fraud, cyber, business and product lines to speed up information exchange and better coordinate defenses.

When it comes to balancing security and convenience, which statement best captures your attitude?
Base: 1,000



Cross-channel monitoring will need to improve across web, mobile apps and contact centers, with contact center staff trained to make them less vulnerable to voice phishing, 'deep fakes' and requests to override 'stops' on accounts.

Banks and other payments providers will also need to improve industry-level collaboration and combine intelligence, particularly on compromised credentials and emerging fraudster techniques.

This more joined-up approach should be complemented by a drive to embed KPIs – e.g. account take-over ATO incident rates, MFA adoption and time-to-detection – into board and executive dashboards and enterprise risk appetites.

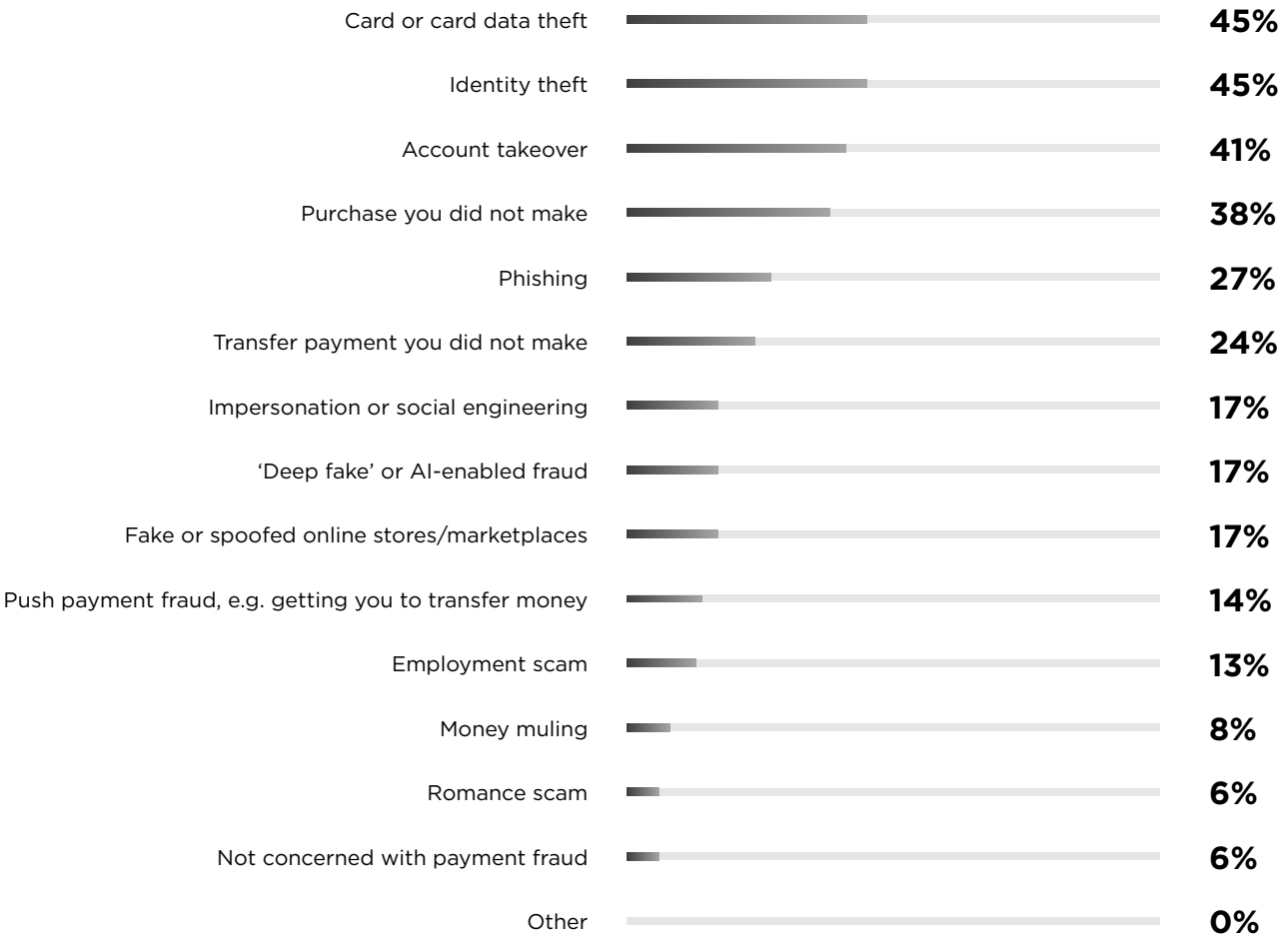
Finally, with fraud increasingly driven by new technologies, business leaders must foster a faster pace of improvement, e.g. breaking three-year transformation plans into more granular milestones.

Takeaway: Prevention of account takeover must continue to evolve from the static monitoring of credentials at the log-in stage, towards risk-based continuous authentication and cross-channel identity orchestration. This will mean layering behavioral analytics, digital identities, adaptive MFA, and biometric identity verification as well as building a more cohesive enterprise-wide strategy.

Awareness & experience of payment fraud

Percentages in this report might not total 100% due to rounding.
For survey methodology & demographics, see page 40.

What kind of payment fraud concerns you most?
4 selections permitted, base: 1,000



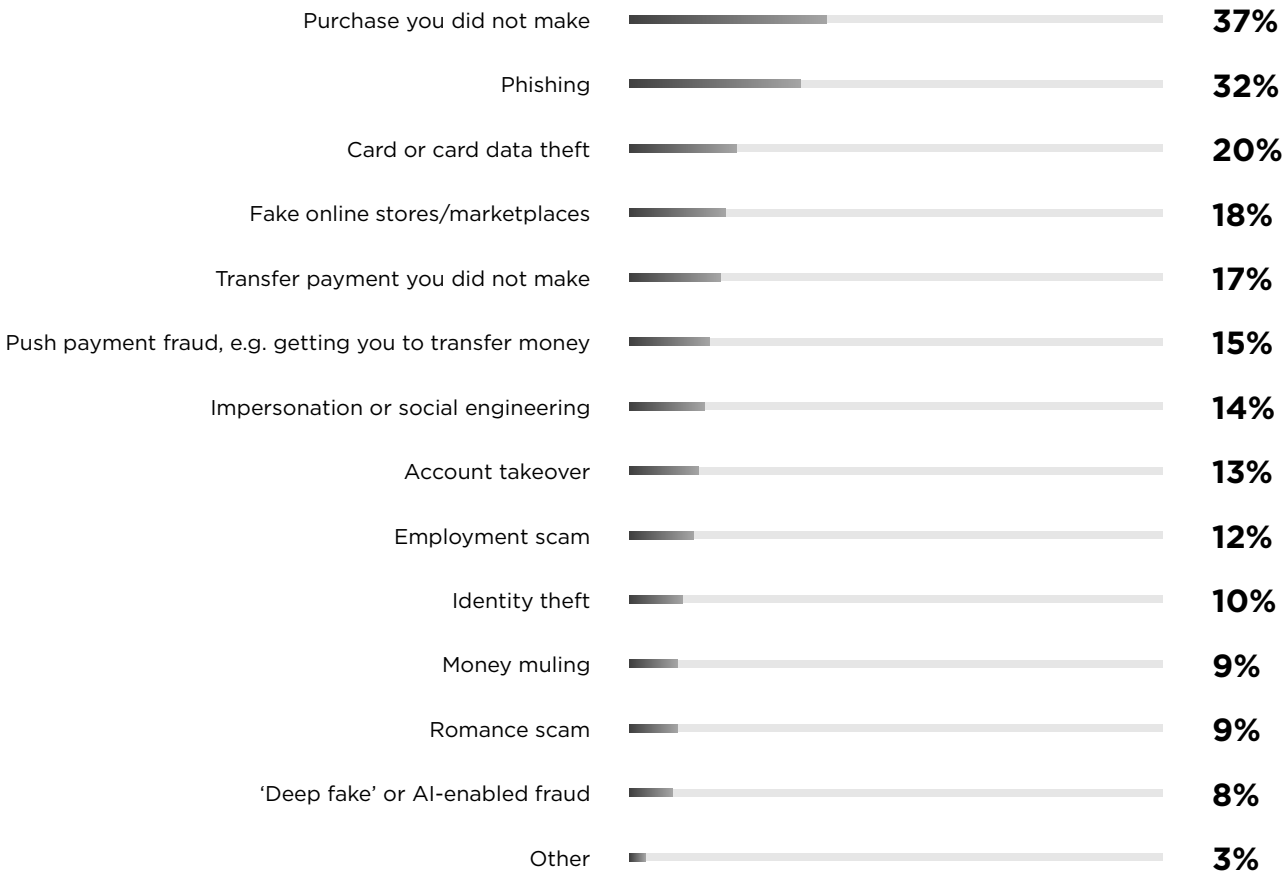
Have you experienced any attempted payment fraud in the past two years (successful or not)?

Base: 1,000



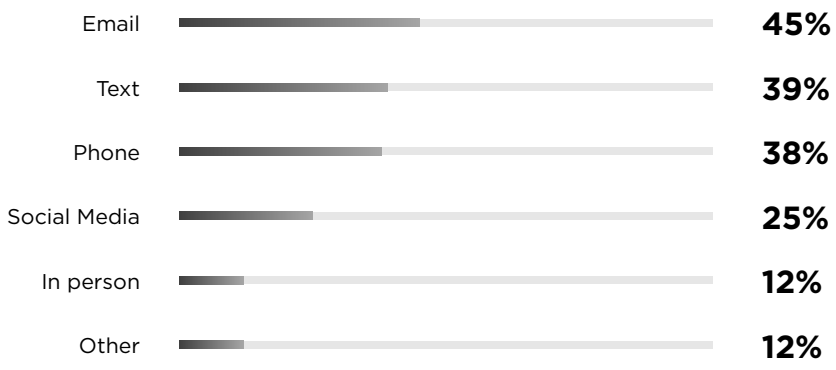
Which type of payment fraud was attempted?

Multiple selections permitted, base: 355 (All those that suffered an attempted payment fraud)



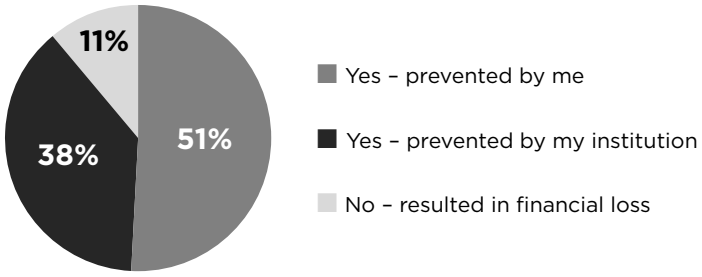
Which communication channels were used to attempt the fraud?

Multiple selections permitted, base: 355 (All those that suffered an attempted payment fraud)



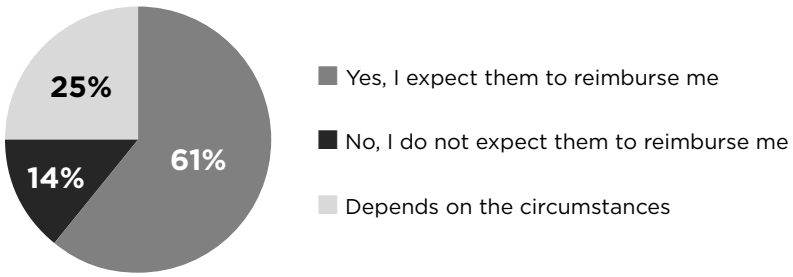
Was this fraud attempt prevented by you or your financial institution?

Base: 355 (All those that suffered an attempted payment fraud)



Do you expect financial institutions to reimburse you in the event of payment fraud?

Base: 355 (All those that suffered an attempted payment fraud)





Authorized Push Payment & Social Engineering

Authorized push payment fraud involves fraudsters deceiving the account holder into authorizing a payment, often through social engineering or by impersonating an official.

The challenge of authorized push payment (APP) fraud is about to be magnified by two key factors: the introduction of virtually instant and irrevocable settlement via Canada's new real-time rail (RTR);[3] and the increasing use by fraudsters of AI technologies to aid impersonation and other scams.

Because APP and socially-engineered fraud is authorized by the account holder, it circumvents many of the defenses used to stop other kinds of fraud. Key fraudster tactics to gain payment authorization include impersonation, phishing and credential faking, business email compromise (BEC) and invoice faking, spoof merchant sites, and investment, romance and employment scams – with many initiated on social media.

Social engineering tactics are often used to persuade the customer to give the fraudster control or sight of the customer's computer, with around 1 in 7 Canadian scam sessions exhibiting signs of remote access.[4] Telltale signs of a remote access attack include session length, login behavior change and other behavioral biometrics.

APP fraud is already a key driver behind fraud losses in Canada, with a 2025 Payments Canada survey finding that impersonation fraud via email, text, phone or social accounts for 24% of fraud incidents experienced by respondents. Meanwhile, deceiving consumers into sending payments under false pretenses accounts for 11%.[5]

In Capco's survey of Canadian consumers, over a third of respondents had experienced attempted payment fraud in the last two years, and of these:

- 15% say this was push payment fraud, e.g. an attempt to get them to transfer money
- 14% say the attempted fraud involved impersonation or social engineering, e.g. someone pretending to be a bank employee, family member or company representative
- 12% specify an employment scam such as a fake job offer, and 9% mention a romance scam.

While consumers are aware of APP fraud, they may be underestimating the serious consequences. When we asked consumers which kinds of payment fraud concerned them most, more named card or card data theft (45%) and other fraud types than named push payment fraud (14%).

In addition, relatively few respondents named the key fraud strategies associated with APP fraud, such as impersonation and social engineering (17%), employment scams (13%) and romance scams (6%).

RTR payment systems are a particular challenge when preventing APP fraud because of the speed and instant settlement of payments – other countries implementing RTR have seen sharp rises in APP fraud.

While Payments Canada will implement centralized anti-fraud elements into its RTR approach from the outset, banks must still design and test their own enhanced guardrails well before RTR goes live. As of Spring 2026, the RTR programme has completed user acceptance testing and entered further testing in terms of performance, resilience and security.[6] The authorities are emphasizing participants' ability to detect and respond to fraud in the new real-time environment.

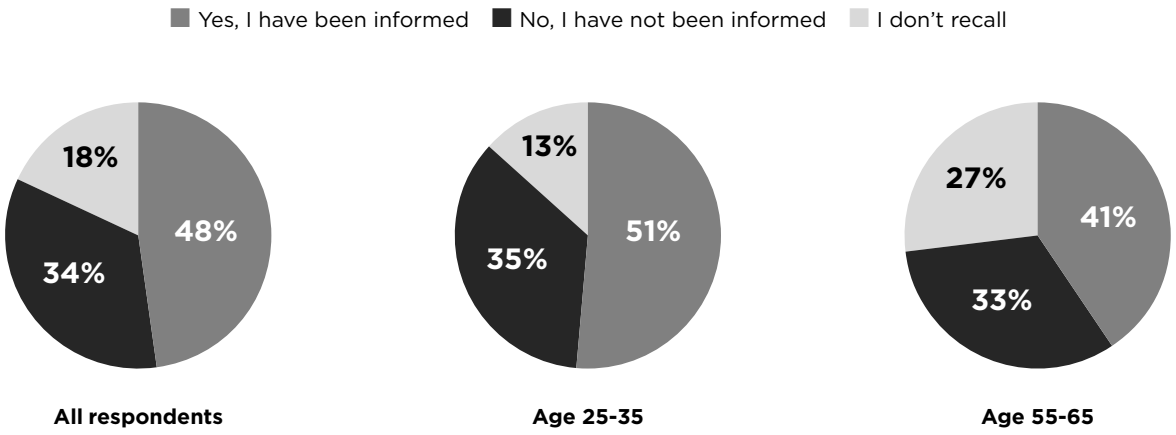
Increasingly, APP fraudsters will use AI tools to create highly realistic and personalized phishing, including sophisticated voice and video 'deep fakes' that lure consumers into losing large amounts to investment scams (or smaller amounts to misdescribed or never-delivered goods).

However, in our Canada survey, 52% of respondents say they had not been provided with – or could not recall being offered – any information or guidance by their financial institution about the 'deep fake' threat and how to reduce the risk. As our figure shows, this number rises to 60% for those aged 55-65.

Strengthening defenses

The big challenge as payments get faster is to speed up analytical and reaction times to prevent APP fraud at the point of payment, while also identifying post-transaction risk signals much faster to cut off future fraudulent activity.

Has your financial institution provided you with any information or guidance about 'deep fake' threats and how to reduce the associated risks? Base: 1,000/251/203



60% of those aged 55-65 say they have not been informed about 'deep fake' threats or do not recall this, compared to 48% of those aged 25-35

Moving towards real-time analysis means moving from data analysis to decisioning within milliseconds, rather than minutes or hours.

When Canada Payments' RTR payment service becomes operational, it will offer centralized fraud services that individual organizations can build on.

These will include a fraud transaction score, a central fraud intelligence platform, risk lists of fraud-associated accounts and confirmation of payee (CoP) capabilities.[7] As well as flagging mismatches, CoP will put some momentary friction back into the new system that will help users reconsider their payment actions.

Financial institutions need to plan how they will integrate their defenses with Payments Canada's centralized RTR anti-fraud measures and share data to track payee reputations, fraudulent payees and fraud patterns. In addition to operating in real time, RTR anti-fraud processes will need to run 24/7, with a potentially significant impact on staffing and system updating.

The box on the next page lists some features of modernized controls that may help prevent or mitigate APP fraud in RTR and other payment rails.

Key controls will include improved authentication of new payees, call-back verification and tougher MFA on unusual and higher-risk requests, and real-time AI-enabled anomaly detection – as well as improving staff training and customer education regarding social engineering.

> "Just-in-time education is likely to prove a key defense through mechanisms such as pop ups, in-app warnings and contextual nudges at the point of payment.

Two key approaches are to minimize user friction for low-risk payments while applying carefully stepped-up friction and verification for higher risk payments, and giving user education a real-time edge.

Just-in-time education can take the form of pop ups, in-app warnings and contextual nudges at the point of payment to warn customers to think twice – potentially including personalized warnings about emerging threat types. The results of in-line warnings can be tracked, e.g. in terms of the rate of aborted payments, to support continued improvement.

Educational campaigns can be targeted to key segments such as younger people vulnerable to social media fraud, or older segments vulnerable to big ticket email and phone fraud, e.g. investment fraud. The Canadian Anti-Fraud Centre (CAFC) report for 2024 says that investment scams are the most important type of scam in terms of dollar loss, followed by spear phishing, romance scams, and employment scams. The last category has seen the biggest increase in losses, particularly from task-driven scams.[8]

Much of the payments industry still suffers from fragmented intelligence, relatively slow information sharing and a lack of real-time detection capabilities. Through its centralized data collection and fraud defenses, Canada's new RTR will help refocus the industry on the need for shared data, collaborative approaches to preventing fraud, and faster analytics using the latest AI and machine learning technologies.

AI and machine learning are important because they enable real-time analysis of large, varied, multi-dimensional data sets to help identify fraud before it happens – through focusing, for example, on similarities with prior frauds across the network or anomalous behavior.

Modernized controls to prevent or mitigate RTR APP

- **Point-of-payment friction & contextual warnings.** Show inline warnings for new payees, high-value transfers, cross-border payees.
- **Payee validation/Confirmation-of-Payee (CoP).** Name-to-account matching; flag name/account mismatches and require user confirmation. Enable certified payee directories to help reduce mistaken-payee risk or leverage third-party CoP services.
- **Short-term blacklists & rapid sharing.** Maintain and exchange indicators of compromise across business lines. Map payment behaviors and receiving accounts to known scam typologies.
- **Real-time behavioral scoring & anomaly detection.** Including abnormal velocity rules, payee-reputation scoring to spot features such as device change, geolocation mismatch, rapid payee change. Pause or hold high-risk transactions.
- **Step-up & out-of-band verification for flagged flows.** Including features such as callback, biometric re-authorization, or secondary OTP for suspicious payees/amounts.
- **Customer remediation policy & templates.** Clear, documented criteria for rapid reimbursement and case handling to reduce reputational harm and regulatory friction. Balance against first-party fraud indicators.

In May 2024, a pilot on the UK's RTR to test the efficacy of a combination of bank data sharing and ML tools reported a 40% uplift in fraud detection.[9]

Real-time graph-based AI applications that can analyze networks of cross-bank relationships across nodes such as customers, transactions, accounts, devices and IP addresses may prove especially powerful. The approach can help identify how scammers and mule accounts connect to victims across large networks, beyond individual banks. Risk signals can then be rapidly propagated back to participating institutions.

However, while AI and agentic AI systems – see box, page 21 – will be very important in detecting fraud in real time, they will not do away with the need for the human touch. In the case of bigger-ticket APP fraud – e.g. romance fraud, investment fraud, impersonation – remediation teams need to talk to customers to break the illusion that fraudsters have created and to re-establish trust in the bank.

AI might still be on hand to help prompt the bank representative, or summarize conversations and action points, but contact with experienced, well-trained staff is likely to remain essential.

As RTR is demonstrating, modernized transaction monitoring and controls must be bolstered with strategic efforts at the enterprise and industry level. There are opportunities to leverage data from intermediary payment processors and consortia and to look at cross-border or global data.

Banks and other payment providers are increasingly aware that they are at the end of the fraud lifecycle, particularly for APP fraud. The payments industry needs the help of other players who can monitor the spaces in which much fraud starts, notably social media companies and telcos.

While APP scams are becoming more sophisticated and AI-enhanced, many are still repetitive in nature – targeting large numbers of people in the hope of deceiving a few and relying on networks of scammers and mule accounts.

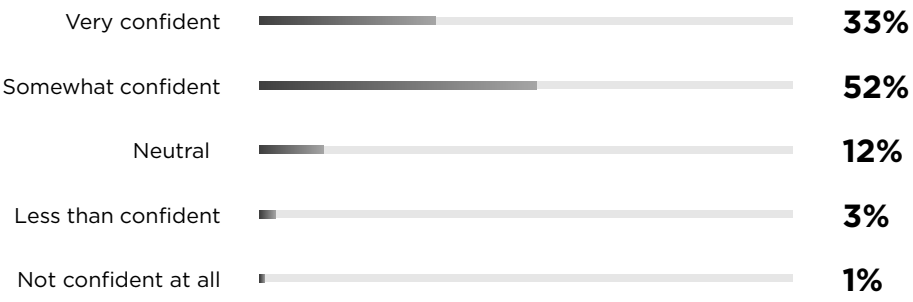
That makes the scams identifiable, so long as institutions and their partners can process large sets of multi-dimensional data and then rapidly act on fraud signals across product, business and industry silos.

Takeaway: Payee confirmation, risk scoring and fraud detection based on large data sets, combined with just-in-time user education, can reduce APP fraud more effectively than standalone transaction authentication or post-fact remediation – particularly in an RTR environment. However, this will mean overcoming key challenges around confirmation of payee strategies, deploying real-time AI and ML behavioral and decisioning models, data sharing, and partnering with industry third parties.

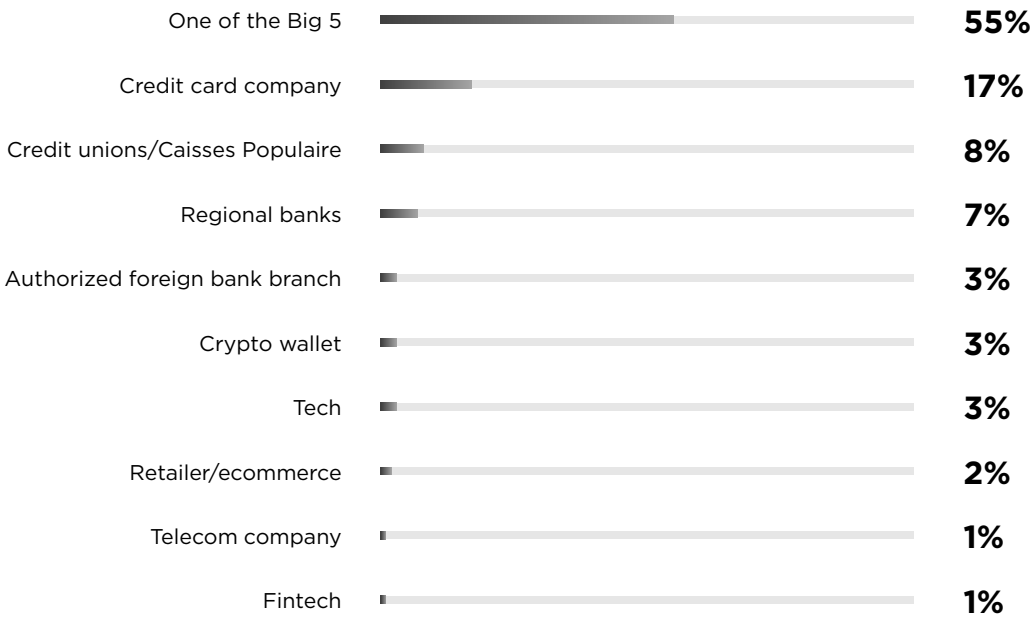
Balancing trust, security & convenience

Percentages in this report might not total 100% due to rounding.

How confident are you that your primary financial institution will protect you from payment fraud?
Base: 1,000



In the event of payment fraud, which institutions would you most trust to resolve your issue quickly and effectively? Select only the most trusted, base: 1,000

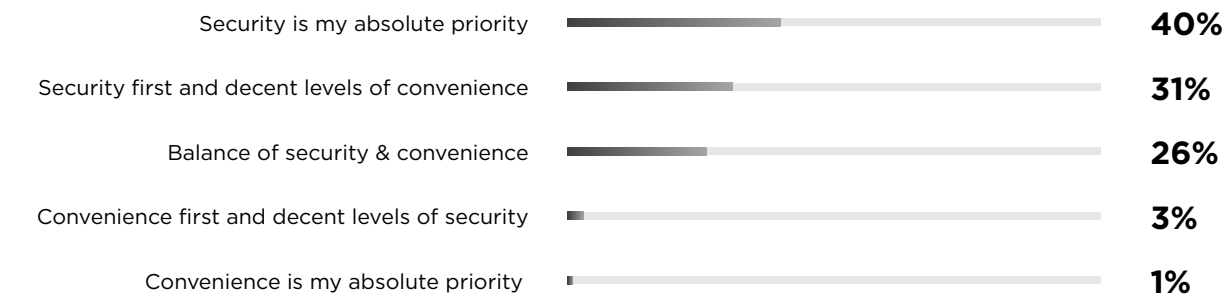


Which of the following are the most important factors when choosing a financial institution that offers payment services? 4 selections permitted, base: 1,000



70% of those aged 65-75 years selected 'Security'

When it comes to balancing security and convenience, which statement best captures your attitude? Base: 1,000





33%

of respondents find complex passwords frustrating or inconvenient to use



27%

of respondents find being sent security codes frustrating or inconvenient



23%

of respondents find challenge/security questions frustrating or inconvenient



17%

of respondents find mobile or email notifications of account activity frustrating or inconvenient

AI agents and the prevention of payment fraud

Agentic systems have the potential to improve and speed up the complex series of intertwined tasks required to prevent payment fraud – particularly APP fraud. AI agents apply complex reasoning to perform multi-step tasks, often as part of a system in which multiple agents perform specialized functions, relay outputs to each other, and coordinate their actions.

For example, agentic systems can access and analyze different sets of data and risk signals; reach complex decisions; ask for further information; apply step-up controls; and involve human investigators and decision makers.

For the moment, the use of agentic AI is arguably more advanced in AML than payment fraud, but the need for real-time decisioning and scaled interactions with customers suggests that agents could become critical to preventing certain kinds of consumer and business payment fraud.

There are, however, many challenges. Like other AI approaches, agentic AI must be closely governed and explainable to regulators, partners and customers. As semi-autonomous systems begin to blur operational boundaries and those between machine and human judgement, it will be critical to clearly define accountability and responsibility.

Any agentic approach needs to be aligned with evolving regulatory expectations across dimensions such as data quality, privacy, fairness, explainability, and documentation – likely including audit trails with logs of agent decisions and actions.

In particular, organizations will need to align with OSFI's new Guideline E-23 on model risk management, effective from May 2027, which explicitly covers AI/ML models and their unique transparency and governance challenges – including autonomous decision making, re-parameterization and the potential for model drift.[10]

Furthermore, AI governance should be treated as part of enterprise risk management. In addition to E-23 there may be considerations to take into account arising from E-21 (operational resilience), B-10 (third-party risk management, e.g. where agents are based on commercial LLMs), and B-13 (technology and cyber risk management).



Payment Card & Emerging Digital Payment Fraud

Payment card fraud is the fraudulent use of debit cards, credit cards and prepaid cards by stealing the card or the card information, e.g. to commit card-not-present fraud.

Capco's survey of Canadian consumers reveals that card and card data theft (45%) is the type of payment fraud that concerns respondents most.

As our figure on page 23 illustrates, it narrowly beats identity theft (also 45%) and account takeover (41%) as a consumer worry.

The high level of concern is partly driven by personal experience. Over a third of respondents in the Capco survey have experienced attempted payment fraud over the last two years, and the top four fraud types they report are all often associated with payment card fraud:

- 37% say the attempted fraud involved a purchase they did not make
- 32% say it involved phishing, often used to steal card credentials
- 20% specifically name card or card data theft
- 18% mention fake online stores and marketplaces.

Our findings echo a 2025 Payments Canada survey, which found that the top three types of payment fraud include fraudulent transactions appearing on a bank or credit card statement (33%) – the leading type of payment fraud – and unauthorized purchases made using stolen credit card information (20%).[11]

Card-not-present (CNP) fraud accounts for the majority of payment card fraud, fueled by the rise in e-commerce since the Covid-19 pandemic as well as the shift to EMV chip technology in Canada – which made in-person card fraud harder.

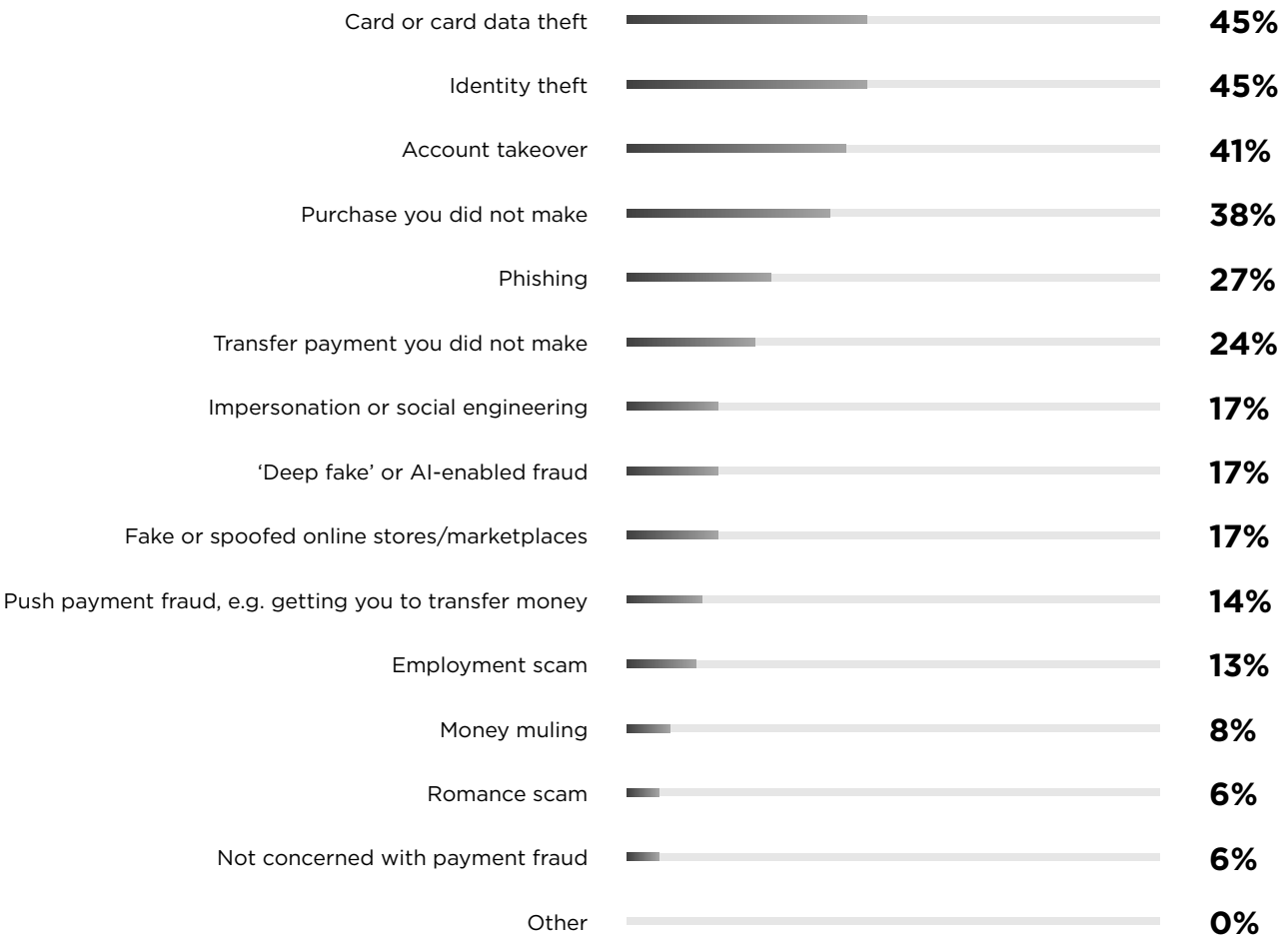
There are numerous ways for fraudsters to steal payment cards or access their information, ranging from duping travelers into handing over physical cards – e.g. on the pretext of helping a fellow traveler pay for a taxi ride home – to putting fake card readers into petrol stations to harvest card details.

Phishing and social engineering are often used to trick consumers into sharing card data, e.g. by steering them to sites posing as merchants or as their financial institution.

> “ Card and card data theft is the payment fraud that concerns respondents most.

What kind of payment fraud concerns you most?

4 selections permitted, base: 1,000



Threat actors around the world are using ecommerce platforms and website template building services to create multiple fraudulent shops, often impersonating luxury brands.[12]

The long shipping times associated with offshore e-commerce provide an extended interval in which to exploit credentials before customers realize something is wrong.

Bots are increasingly used to attack e-commerce outlets and financial services, and also to automate phishing for card details on a huge scale.

According to the Payments Canada survey, around a third of Canadians (32%) now struggle over whether payment-related telephone and email communications are legitimate or a potential scam.[13]

Strengthening defenses

While card authorization already happens in milliseconds, fraud controls beyond authorization have not kept pace. In many institutions, monitoring, detection and case management activities remain partially dependent on batch processing and manual intervention and may take hours or days to complete.

This is increasingly misaligned with a world in which fraudsters are operating in real time and consumers are adopting real-time payment rails.

Banks need to move towards continuous assessment risk frameworks that rely less on post-event detection, while also speeding up post-event activities. Identity and authentication of card users need to be strengthened, taking into account aspects of digital identity such as device intelligence, geolocation consistency, network intelligence and behavioral biometrics.

Part of the challenge is that current applications are not set up to capture complex, cross-system fraud signals. Data continues to be held in silos across the organization with no single detection platform creating a truly enterprise-wide view – potentially allowing fraudsters to exploit weaknesses by adjusting tactics in real time.

Fraud prevention must therefore increasingly span products and channels as well as functional teams, with improved information exchange across business teams, financial products and across payment fraud, cybersecurity and AML teams.

> “AI-powered real-time detection tools will use many kinds of data to identify suspicious activity.

Four key themes can help firms define how to strengthen defenses.

Shift focus from detection towards prevention:

- We are seeing a movement in fraud trends away from the simple abuse of stolen credentials or lost cards and toward elaborate multi-part fraud scams that include investment scams, romance scams, employment scams, business compromise, and first-party fraud. In many of these fraud scenarios, the normal verification and authorization procedures break down as protective mechanisms.

- A lot of the controls need to move upstream as firms search for a pattern of behavior leading up to the monetization event: abnormal behaviors, new payees, unusual amounts, session behavior, and indicators of repeated ‘copy & paste’ fraud gambits.

  To combat this kind of payment fraud, organizations may need to add friction back into the customer journey – pop-up warning messages, payee confirmation services, cooling off periods – to provide education and give customers the time to think twice.

Detect fraud across ecosystems, not within silos:

- Ensure proper data and activity sharing across payment rails (cards, wires, bill pay, real-time rails, eTransfer, debit), customer channels (online, mobile, branch), operational functions (fraud, cyber, identity & access management, contact center, branch) and institutional partners (other banks, payment network providers, law enforcement, fintech).

Prepare for fraud at scale:

- AI and agentic automation will open new avenues of fraud and increase velocity across existing vectors. 'Deep fakes' and chat bots could compromise customers directly through social engineering and by circumventing defenses such as systems designed to authenticate customers using biometrics.

- Credential stuffing at scale is becoming a relatively trivial exercise, while other forms of complex, coordinated fraudulent activity will become near instantaneous to execute (and replicate).

Human and artificial intelligence must work together:

- Organizations must quickly adopt and incorporate AI into their operations and investigations. AI is the key to better real-time decision making through the orchestration of data across silos to detect complex, potentially fraudulent, behaviors.

- AI-assisted investigations can more rapidly gather data, surface insights and identify patterns. They can also reduce the number of false positives to reduce wasted effort and focus human teams on the highest-value work.

Fraud risk detection around the world is already being improved using AI models that can analyze very large amounts data from many different sources to identify suspicious activity and anomalous behavior more effectively. The major card networks are showing the way in terms of using generative AI-based predictive technologies: significant improvements in detection rates are already helping them alert banks more quickly about compromised cards.[14]

Banks will need to strengthen their capabilities, however, competitive advantage rarely comes from building every capability in-house. Deploying the latest technologies, including AI models and real-time tools, means selecting and orchestrating the best partnerships, as well as making necessary improvements to fundamental data management, data sharing, integration and real-time data ingestion.

As new types of fraud emerge and bank loss velocities increase, fraud tolerance and other top-of-house decision factors need to be revisited. The right strategy must balance security considerations with the bank's business goals and the need to preserve a positive customer experience. The box on the next page highlights key tactical responses that take this imperative into account.

Preserving a positive experience for each customer means addressing several dimensions including customer segmentation based on risk appetite and behavior; improved risk-based decisioning, e.g. the use of step-up authentication where payment values or risk signal thresholds are exceeded; and reducing false positives through better fraud risk detection.

Finally, banks and other payment providers need to find new ways to strengthen consumer awareness of the fraud landscape as payment methods proliferate, so they can empower customers to modify their behavior and take informed decisions, e.g. updating security parameters on their cards and payment devices (spend, CNP and geo limits).

For both customers and banks, the way forward is to move away from reactive monitoring and towards real-time, intelligence-led risk management – leveraging fraud signals within and across payment networks.

Key tactics for reducing card fraud while improving the customer experience

- **Make secure card payments feel effortless.** Prevent fraud through stronger but lower-friction authentication. Biometrics, digital wallets, tokenization and passkeys can help because they strengthen security while preserving convenience. This will mean encouraging wallet provisioning, biometric approval setup, tokenized card-on-file payments, passkeys for digital banking access, and lifecycle controls such as instant card freezes, card replacement and merchant token management.

- **Intervene during transaction initiation.** Well-executed step-up authentication, push notifications, transaction confirmation, and real-time card controls can prevent fraud while also making customers feel protected rather than punished.

- **Detect suspicious activity earlier and intervene intelligently.** Use advanced AI to augment or replace traditional fraud models, looking for anomaly detection and unusual activity and fraud signals across merchant, location, channel, token, device and transaction velocity. Do so in ways that allow the intervention to be explained to customers and regulators. Good intervention is timely, specific and actionable.

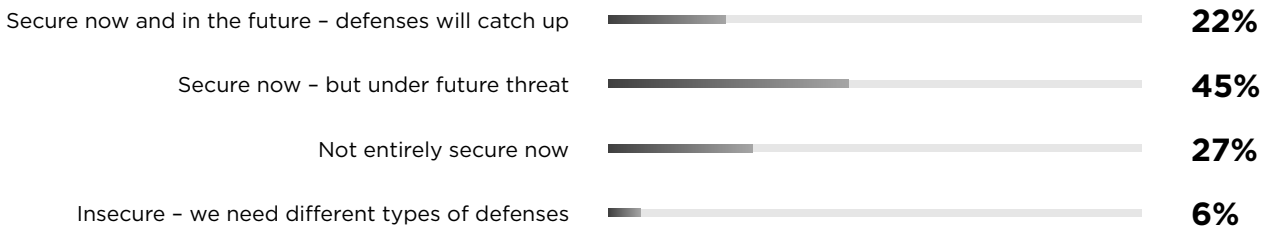
- **Make recovery radically easier.** When fraudsters get through, the recovery experience becomes a trust moment for the customer. This means allowing customers to file in-app reports, and giving them the ability to identify and report multiple suspicious transactions simultaneously, upload contextual information, receive provisional credit where reasonable, track claim status, and request physical card replacement or easily provision a new card to a wallet. Customers should feel believed, guided and protected rather than feeling they are entering an administrative maze.

Takeaway: Our survey shows that card payment fraud worries consumers more than other kinds of payment fraud. Customers are not just worried about potential losses – their fraud anxiety is about trust, control, disruption and the recovery effort. Banks need to improve the end-to-end fraud experience, move further from detection towards prevention, and prepare to combat fraud-at-scale through breaking down silos and incorporating AI into operations and investigations.

‘Deep fakes’, AI-enabled fraud & data-driven ID theft

Percentages in this report might not total 100% due to rounding.

Do you think voice biometrics and facial ID is secure, given advancing ‘deep fake’ technology?
Base: 1,000





21%

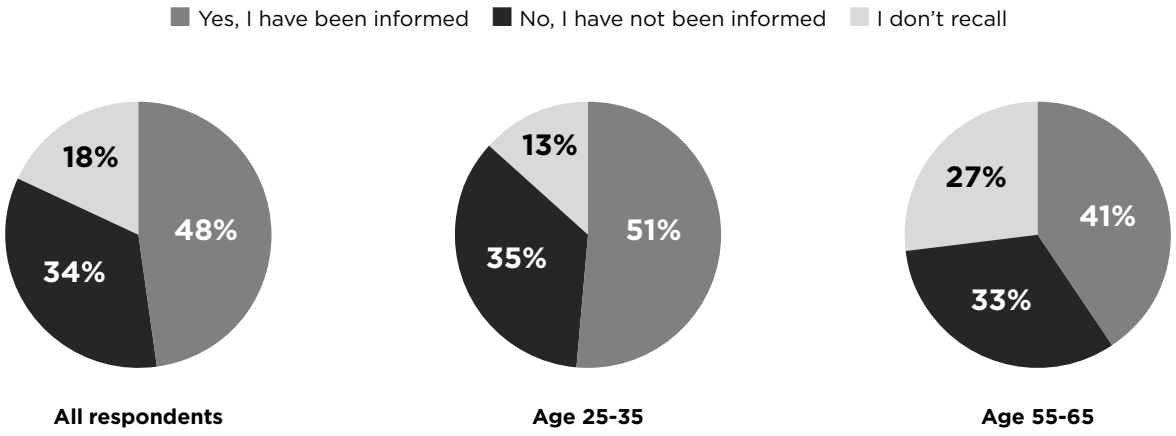
of respondents find biometric scans (face/finger) frustrating or inconvenient



18%

of respondents find voice biometrics frustrating or inconvenient

Has your financial institution provided you with any information or guidance about 'deep fake' threats and how to reduce the associated risks? Base: 1,000/251/203



60% aged 55-65 say they have not been informed about 'deep fake' threats or do not recall this, compared to 48% aged 25-35

How concerned are you that personal data available online could make it easier for someone to impersonate you or find answers to security questions? Base: 1,000

38%	53%	10%
Very concerned	Concerned	Not concerned



Identity & Synthetic Identity Fraud

Identity fraud is the use of stolen personal identity information to open new accounts or lines of credit in a real person's name, while synthetic identity fraud combines real and fake information to create new false identities.

The shift of commerce, financial services and social life to the internet has created an environment in which identity fraudsters can exploit data breaches, harvest credentials online and operate remotely.

Fraudsters are collecting credentials through phishing (email), smishing (texting), vishing (voice calls) and other techniques – increasingly enabled by AI tooling.

After spiking during the pandemic, identity fraud remains one of the most reported fraud types in Canada. In our Canada consumer survey, 45% of respondents name identify theft as one of the types of payment fraud that concern them most – making it the second most worrying form of payment fraud, after card and card data theft.

Our survey suggests that consumers are highly aware that personal data available online can make it easier to impersonate them, or guess the answers to their security questions. Ninety-one percent of respondents are either very concerned (38%) or concerned (53%) about this vulnerability – perhaps an opportunity to educate customers on safe behaviors.

Other industry surveys show that half of Canadians (48%) know a victim of identity theft, with most (58%) struggling to keep up with the latest scams and the vast majority (89%) saying that companies should do more to protect their personal data.[15]

> “ 45% of respondents say identity theft is one of the types of payment fraud that concern them most.

How concerned are you that personal data available online could make it easier for someone to impersonate you or find answers to security questions? Base: 1,000



However, many victims only realize their identity has been misused when they are contacted after a fraud. Fraudsters therefore have extensive time to build positive credit histories around stolen or manufactured identities before applying for loans, making purchases, using the account to launder money, or otherwise cashing out.

Synthetic identity fraud is a special case of identity theft. Fraudsters combine real and fictitious personal data to create a plausible synthetic identity, increasingly with the help of AI tooling.

In a TransUnion study published in 2025, 200 Canadian business leaders reported fraud losses of CAD$111 billion, with synthetic identities driving over a quarter (26%) of this total, up from 18% a year earlier. According to the report, synthetic identity fraud is the fastest-growing type of fraud by total loss amount.[16]

Like other kinds of identity fraud, it is often enabled by weak onboarding and identity verification frameworks, including manual Know Your Customer (KYC) processes that are difficult to scale, and automated processes that rely on traditional ID verification. Fraudsters have also begun to use AI to generate facial images, voice and videos to help them pass basic biometric checks that do not have sophisticated 'liveness' testing.

Yet there are ways to detect synthetic identities, for example, by independently establishing the person's existence; looking for signs that data has been manipulated; checking for the common fraudster practice of 'recycling' credentials across compromised identities e.g. reuse of a real address; and looking for signs that a device is not being used by a real person.

Increasingly sophisticated analytical models can be deployed to monitor and assess risk signals – such as those generated by biometrics, device authentication and behavior – and predict the associated risks.

Fraudsters sometimes run synthetic identities for a long period of time to build up credit profiles – and may also allow identities to 'lay low'. Checks must therefore go beyond the onboarding phase and include monitoring account activity to see if accounts are behaving like those of real people.

Strengthening defenses

Financial institutions can defeat identity fraud through layered approaches using the right kinds of multi-signal identity and document verification.

They will need to move away from the present reliance on document uploads and redesign onboarding flows with new types of ID verification, robust digital ID frameworks, and greater use of AI and machine learning.

The great advantage of AI is that it allows institutions to move from a linear approach towards looking at multiple data points in real time, including novel data points, e.g. confirming that a customer's social media account shows them doing the job listed in their credit application.

As well as modernizing identity proofing when onboarding, firms need to move towards dynamic KYC, i.e. continuous or event-driven customer monitoring across key dimensions. Verification should be renewed and stepped up in line with risk signals.

We may see some approaches developed in AML functions for HNW customers adapted for use at the consumer level – such as seamless and continuous updating, enrichment from trusted data sources, and entity resolution across business lines to ensure a single golden record.

The table below sets out some key tactical responses, although institutions will need to balance security improvements against increased friction for the customer.

Biometrics, a key defense against identity theft, are threatened by increasingly sophisticated circumvention strategies – particularly in the case of voice authentication.[17] However, innovative solutions are becoming available to improve passive and active 'liveness' checks in real time and detect inconsistencies and a lack of reality in 'deep fakes'.

Firms can also move to multi-modal, layered solutions that combine different kinds of biometrics and other kinds of risk signals to make the fraudsters' task much more complex.

For many institutions, a key element of modernization will be to move to a business architecture that can make more use of SaaS and other vendor services. Start-ups that offer solutions to specific problems such as ID verification can evolve more rapidly than in-house teams, to keep up with new fraudster tactics.

Key tactics to combat identity fraud

- **Modernize legacy fraud detection infrastructure and processes.** In alignment with the OSFI's technology mobilization amendments, replace manual reviews with automated, integrated and explainable systems.
- **Layered ID verification at onboarding.** Fraud risk is highest at account creation and login, requiring tighter onboarding and authentication. Synthetic and stolen identities often fail when application processes enforce multi-signal ID and document verification, and dynamic KYC.
- **Device and behavioral intelligence.** Device fingerprinting, layered with behavioral analytics to flag unusual patterns, can provide institutions with the 'digital DNA' of their customers – helping to detect fraudsters using synthetic or stolen IDs.
- **Frictionless fraud reporting.** Create frictionless ways for customers to report suspected fraud and misuse of their identity and credentials.
- **Integrate first-party risk controls.** Institutions need to identify behavioral patterns early before losses occur, e.g. through integrating income/employment verification or linking fraud detection logic with credit risk systems.

The Office of the Superintendent of Financial Institutions (OSFI) Guideline B-10 sets out expectations for managing the risk of third-party arrangements, including those supporting identity verification, onboarding, payments and related services.

Financial institutions will increasingly need to move from siloed fraud detection toward cross-product, cross-team intelligence, e.g. better integration of fraud and credit risk signals. New industry collaborations such as the Canadian Anti-Scam Coalition are improving cross-sector coordination across financial, telecom, technology and law enforcement.[18]

The financial industry needs to make it more difficult to access credit using stolen or fabricated identities. A critical mechanism here is to keep clients up to date with credit-related changes in their profile, e.g. notification in real time whenever a loan is taken out in their name.

There is an increasingly urgent need to detect and prevent the use of synthetic identities, whether entirely synthetic or amalgams of real-world attributes combined into a false identity. This will mean both the detection of anomalies within the data such as mismatches (e.g. in the name and email address provided), inconsistencies (e.g. address given versus public data), and risk signals (e.g. by analyzing third-party data sources such as credit services and consortium data or novel sources such as social media).

Public awareness must be improved through ongoing campaigns that explain how identity fraud happens, and what to do if it is suspected. We also advocate the creation of a fraud risk score for new customers – similar to a credit risk score – to help banks decide whether to either decline credit or reduce credit exposure for higher risk profiles. Without such a score, it can be hard to develop a truly risk-based approach to fraud prevention.

Takeaway: Identity fraud is increasingly automated and AI-enabled, particularly in the case of synthetic identity fraud. Institutions need to build a layered defense that includes stronger onboarding and identity verification, multi-modal biometrics with liveness checks, and dynamic KYC. This should be combined with a greater application of AI and machine learning to analyze risk signals from the institution's own data and intelligence sharing with industry partners.

First-party fraud

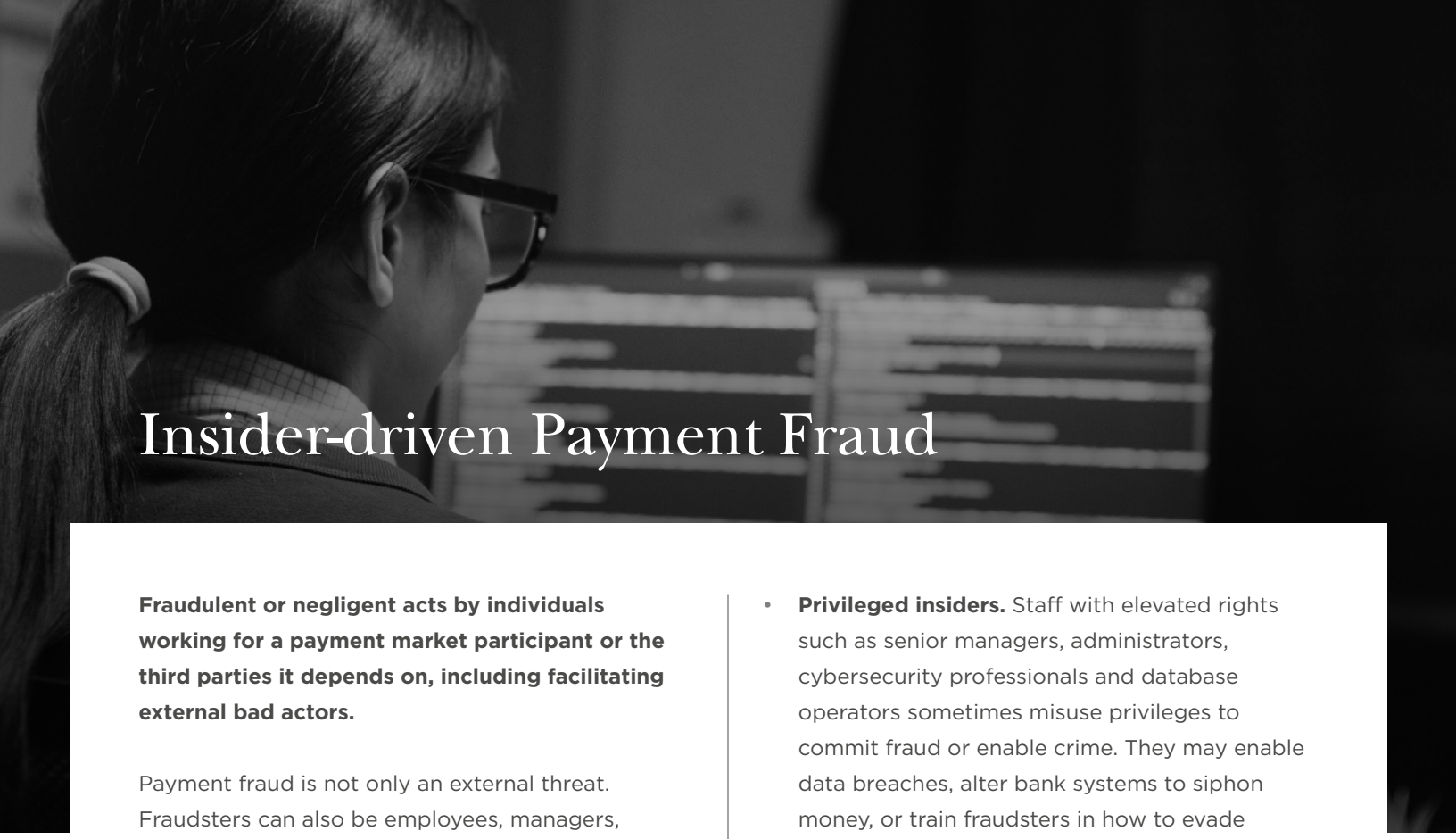
First-party fraud is when the customer themselves commits fraud, e.g. misrepresenting employment status to access credit products, or wrongly claiming purchases were not delivered to recoup the money.

First-party fraud tends to rise when consumers are under economic pressure, as in Canada and the US at present. There were an estimated 12 million incidents of first-party fraud in North America in 2025, projected to grow to over 14 million in 2028.[19]

Increasingly, first-party fraudsters will apply AI tools to generate high-quality fake documents relating to identity and credit criteria such as proof of employment or salary. Tighter verification procedures will be necessary and the industries responsible for generating key documents – e.g. accountants, real estate agents and mortgage lenders – will need to play their part.

One strategy is to begin reducing reliance on document uploads and fragmented verification in favor of an end-to-end understanding of the customer's persona. This may involve behavioral analysis, integrating income/employment/credit verification, using open banking data sources, and enhancing borrower and customer credit risk ratings and fraud risk scores.

Many different dimensions of information, from customer fraud scores to continuous transaction monitoring and behavioral analytics, will need to be combined and analyzed using AI- and ML-enabled systems.



Insider-driven Payment Fraud

Fraudulent or negligent acts by individuals working for a payment market participant or the third parties it depends on, including facilitating external bad actors.

Payment fraud is not only an external threat. Fraudsters can also be employees, managers, executives and third-party contractors who exploit privileged access and authority to commit or facilitate crimes. Insiders often understand how to evade monitoring and cover their tracks, e.g. by exploiting exceptions in escalation procedures. Long recognized as a driver of money laundering, various types of insider threat are now enabling payment fraud:

- **Malicious insiders.** These may abuse their access rights to steal funds or data, extend credit lines for a fee, or delete logs to hide unauthorized transfers.

- **Negligent insiders.** These are staff who – through lack of training, inattention or pressure of work – break rules, fail to follow security protocols, misdirect emails, and expose data to breaches.

- **Compromised insiders.** Even well-meaning staff can have email accounts and devices compromised through social engineering, phishing or session hijacking, or through their use of unapproved 'shadow' IT; shadow AI is an increasing problem.[20]

- **Privileged insiders.** Staff with elevated rights such as senior managers, administrators, cybersecurity professionals and database operators sometimes misuse privileges to commit fraud or enable crime. They may enable data breaches, alter bank systems to siphon money, or train fraudsters in how to evade security protocols or impersonate bank staff.

- **Third-party insiders.** Vendor personnel, e.g. those providing IT support, often have privileged access to applications and networks, and may compromise or extract data from them.

Recent analysis of data breaches across organizations – not just payment market participants – shows that 60% involved a human element.[21] Unintentional mistakes tend to outnumber nefarious insider threats, suggesting that organizations could improve defenses rapidly through better training.

However, deliberate insider fraud is also an important enabler of the fraud types discussed earlier in this report.

Corrupt employees might change contact details or the names of payees to support account takeovers; override risk flags on 'thin file' applicants to help open accounts for synthetic identities; or identify target accounts to turn into mule accounts.

Insider information also helps fraudsters evade preventive measures, e.g. by revealing the size or frequency of withdrawals that attract bank attention and other behaviors that bank systems flag as anomalous.

Strengthening defenses

Regulators and industry bodies are signaling that insider threats and third-party risks are moving up their list of priorities. Relevant regulations include OSFI's Guideline B-13 on technology and cyber risk and Guideline B-10 on managing third-party risk.

However, financial institutions trying to prevent insider-driven fraud face fundamental challenges. Reliance on third parties is rising, and rapid turnover in some parts of the financial industry, such as call centers, makes it harder to identify wrong-doers and enforce strict controls.

In addition, the response to insider incidents tends to be disjointed. A lot of the effort focuses on cybersecurity, with the broader set of bank teams – e.g. physical security teams, fraud teams, human resources, compliance – often inadequately coordinated. Individual business segments often manage insider threats within their own business functions, with slow or limited data sharing.

That makes it difficult to build a complete picture of the risk posed by an individual across business lines, e.g. could someone identified as a potential cyber risk also be letting unauthorized people into the building? It can also mean that the bank lacks a comprehensive strategy for raising incidents and learning from them.

One key area of improvement is therefore for organizations to build a more formalized insider threat strategy. For example, they can examine how different teams interact and how information flows between them with the aim of moving to a more coordinated model – including shared or centralized functions and platforms where this makes sense.

Detecting insider incidents is challenging, so another improvement strategy is to prioritize and build the right uses cases for key defenses such as:

- security information and event management (SIEM) platforms that act as a data backbone for insider threat programs

- user and entity behavior analytics (UEBA) that flag behavioral anomalies and deviations.

New use cases need to be continually developed to strengthen traditional hard-wired rules-based alerts and to keep pace with new fraud tactics. Careful risk-based prioritization is important as preventive systems inevitably generate false positive signals that can overwhelm small teams. The monitoring of staff also needs to be balanced with respect for privacy, e.g. by clearly defining, limiting and communicating monitoring efforts and their purpose.

One way to strengthen defenses is to develop a Know Your Employee (KYE) program that monitors staff at a role level rather than – in the first instance – singling out named employees. A KYE program assesses employee risk scores in a structured way over several dimensions such as line of business, division, unit, team, role and individual characteristics.

The risk indicators vary from exposure metrics and audit findings (at line-of-business level), down to turnover rates, morale metrics, approval authorities, access and tenure (at team and individual levels).

KYE programs can help to identify vulnerabilities through comparative analysis, e.g. by comparing the access, control and activities of branch employees or managers at a particular branch versus similar branches. That allows the bank to compare patterns such as those around the authorization of high-value transactions, the opening of large numbers of accounts, or the taking of large deposits. The bank can examine if behaviors, e.g. escalation over-rides, seem anomalous compared to similar teams.

It can also look for patterns that create vulnerabilities, such as staff handling too much cash, so that it can target support towards higher-risk teams. Incorporating KYE outputs into monitoring systems can help detect patterns of fraud that traditional models might miss.

The effort to build a more systematic and holistic approach should be applied across several lenses including threat hunting and detection, threat prevention, incident management and governance.

For example, once an insider incident has happened, does the bank have a strategy to learn from the incident and address key questions such as:

- Is the bank approaching affected clients in an appropriate and consistent way?
- Are there implications for training and recruitment such as the need to run periodic background checks beyond the moment of hiring, e.g. when credit profiles deteriorate?
- Does the bank need to reconsider its strategy around access rights?

Regarding the last point, employees should have routine access only to the data necessary to perform their role.

Banks and other payments providers should regularly reassess how insider risk can be better managed through tightening role-based access control, improving data encryption strategies, and refocusing privileged access management and provision of access to 'joiners-movers-leavers'.

Key metrics surrounding access should be identified and tracked, e.g. the percentage of users with excessive or dormant privileged access, and the average time taken to deprovision access.

In our experience, approaches to insider threats vary significantly across organizations. This often gives rise to relatively easy wins in terms of improvements, from risk identification through to controls inventories and data integration.

The box on the next page sets out some key tactics, aligned with regulatory guidelines. Financial institutions should undertake regular operational control reviews to make sure their payments-related defenses remain best practice and can cope with the latest insider-driven fraud scenarios.

> "Organizations need a formalized insider threat strategy and a coordinated fraud prevention model, with shared or centralized functions where this makes sense.

Key tactics to combat insider-driven fraud

- **Optimize encryption, access and process controls.** Implement data encryption across core systems and segregate duties with stronger identity access management (IAM) and privileged access management (PAM) to reduce fraud opportunities. Strengthen internal process/system controls with regular review from the audit function.
- **Improve risk identification.** Implement risk-based customer due diligence (CDD) for KYC and enhanced due diligence (EDD) for KYE.
- **Leverage monitoring & detection mechanisms.** Use SIEM and UEBA tools to monitor insider access to customer accounts. Unexpected or unusual access behavior, unauthorized or unjustified access, and patterns of unusual access can all be tracked to understand when customer privacy or funds may be at risk.
- **Support integrity and transparency.** Encourage an ethical culture and provide channels for anonymous whistleblowing.
- **Improve case management.** Build robust and scalable case management tools to manage insider investigation workflow more effectively across the enterprise.
- **Learn from incidents.** Establish a recovery plan to execute 'lessons learned' remediation procedures with stronger containment activities and stricter controls for identified gaps.

Takeaway: Insider-driven threats take many forms – including third-party risks – and involve many bank functions. They demand tighter access control strategies and a more coordinated response with better internal data-sharing and monitoring and behavioral analytics. They also require careful risk-based prioritization – leveraging concepts such as Know Your Employee programs – and structured ways to manage incidents and learn key lessons.



Defense in Depth: The Imperative for Enterprise-wide Action

Payment fraud is a key concern for consumers. When we asked respondents to list the four most important factors when choosing a financial institution that provides payment services, the two clear winners were security (named by 60% of respondents) and advanced fraud protection (46%).

These came well ahead of a long list of other compelling factors such as customer service quality and responsiveness (39%), transaction speed and reliability (36%) and rewards such as cash backs (28%).

Strengthening the prevention and mitigation of payment fraud therefore offers institutions a key opportunity for market differentiation, in addition to its importance for reducing operating cost and risk – and for supporting society's wider fight against crime.

Throughout this report we have focused on five key types of payment fraud and set out strategic and tactical improvements that can help prevent them.

However, fraudsters do not stick to particular fraud types and tactics, and they increasingly work together to exchange information and services in what is becoming an industrialized, globalized, automated and AI-enabled threat industry.

Fraud prevention must adopt a similarly coordinated stance, accepting that there is no endpoint to the need to improve intelligence and defenses.

To conclude the report, we therefore highlight five key fraud prevention initiatives that cut across fraud types and that benefit from an explicitly enterprise-wide perspective.

Establish defensive perimeters around and within the bank:

- The best way to prevent compromise is to ensure wrongdoers are never inside defensive perimeters. This needs to be applied consistently across access points, channels and products.
- Invest in strong customer identity and access management (CIAM), as well as identity and access management (IAM) to help manage insider risk.

Educate your clients and your employees:

- It is easy for education, awareness and training to become routine, boring and forgettable. Make sure messaging is simple and actionable – and move the messaging closer to the potentially insecure activity.

- Introduce strategic frictions to help customers think through their actions and comply with bank guidance.

Identify and deploy AI use cases:

- AI can be used to strengthen business, operations, and fraud investigative team capabilities and is particularly important for improving detection, e.g. through behavioral analytics and better anomaly detection.

- AI increasingly offers the ability to look for risk signals across operational, functional and data silos while also reducing response times and accelerating preventive actions to near real time.

- Other use cases can help to improve the quality and efficiency of payment fraud investigations, e.g. by gathering relevant evidence and providing insights.

Future-oriented threat hunting and fraud intelligence:

- Organizations must ensure they are forward looking rather than fighting yesterday's battle. Where are the fraudsters going in terms of their capabilities and emerging fraud scenarios; what are our customers' recent fraud experiences and attitudes; and how can emerging technologies and data strategies enhance our ability to fight fraud?

- Organizations should create a pipeline of insights to drive future fraud prevention and detection.

Operating model strategic overhaul:

- Look across all the components of your organization's fraud prevention strategy: channels, customer onboarding, servicing, transacting, fraud and risk, collections and disputes.

- Do all these groups have the right understanding of their role in fraud prevention, and the right capabilities? Are their defensive and responsive playbooks clear? Are roles and responsibilities across teams aligned? Are interactions and communication between teams open and frequent?

To put these and other initiatives into action, fraud prevention teams will need support and investment from senior management. Clear, coordinated strategies and roadmaps will need to be set out and – given the quickening evolution of technology-enabled fraud – implementation milestones will need to be reached much more quickly than in the past.

The need for coherent planning and leadership to transform organizational capabilities and win the fraud arms race has never been greater.

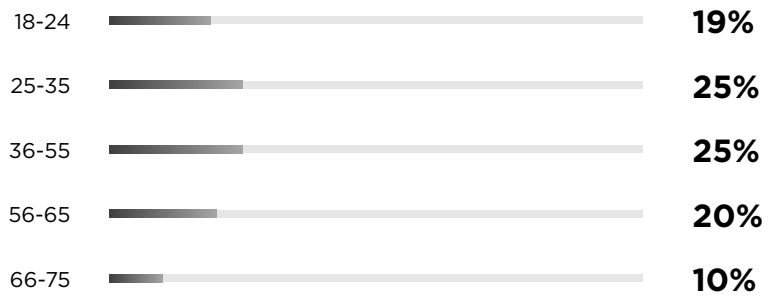
We trust our survey and report spark discussion in your organization at both the tactical and strategic level. We look forward to helping you answer any questions that might arise as our industry prepares for rapid change with regard to new threats, new payment rails, and increasingly real-time defensive strategies and technologies.



Survey methodology, demographics & payment channels

We interviewed a total of 1,000 respondents aged between 18 and 75 years old. The surveys were quantitative studies conducted using diverse sampling methodology (social & ad networks). Percentages in this report might not total 100% due to rounding.

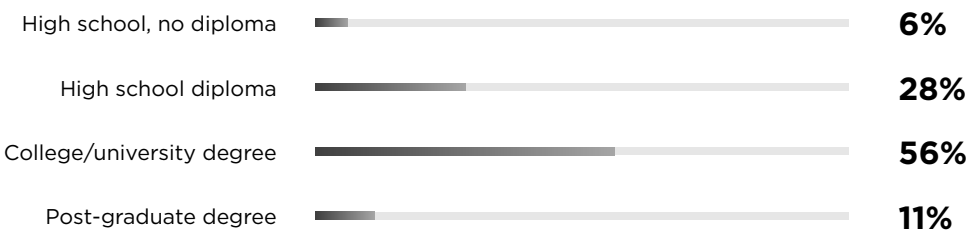
Age range: 18-75



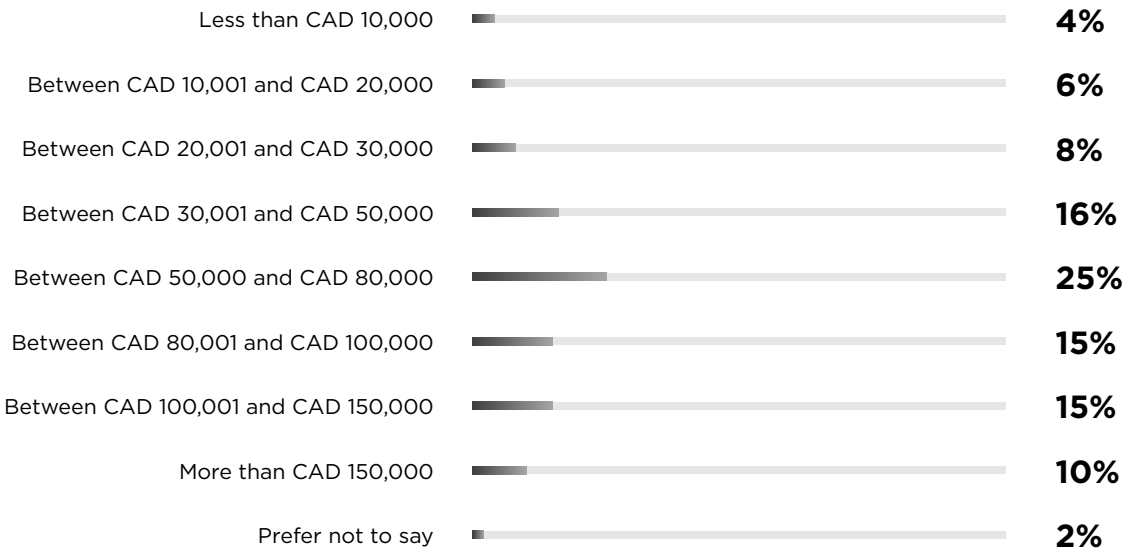
Gender (1% identified in a different way)



What is the highest level of education that you have completed?

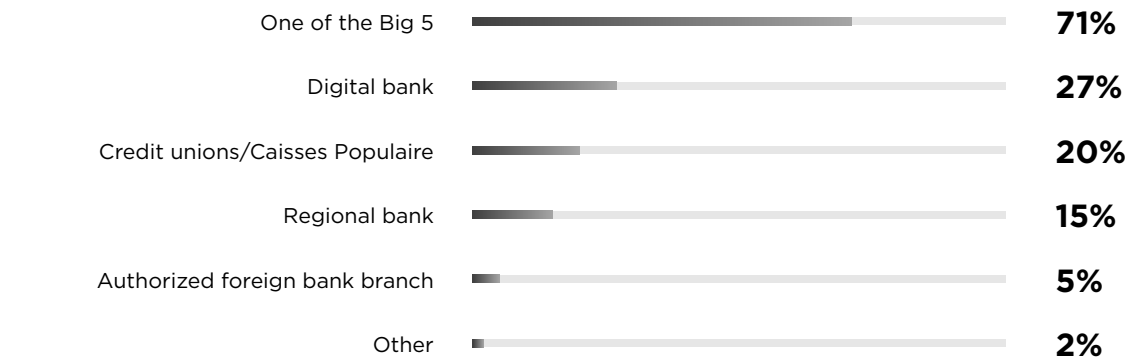


What is your annual household income?



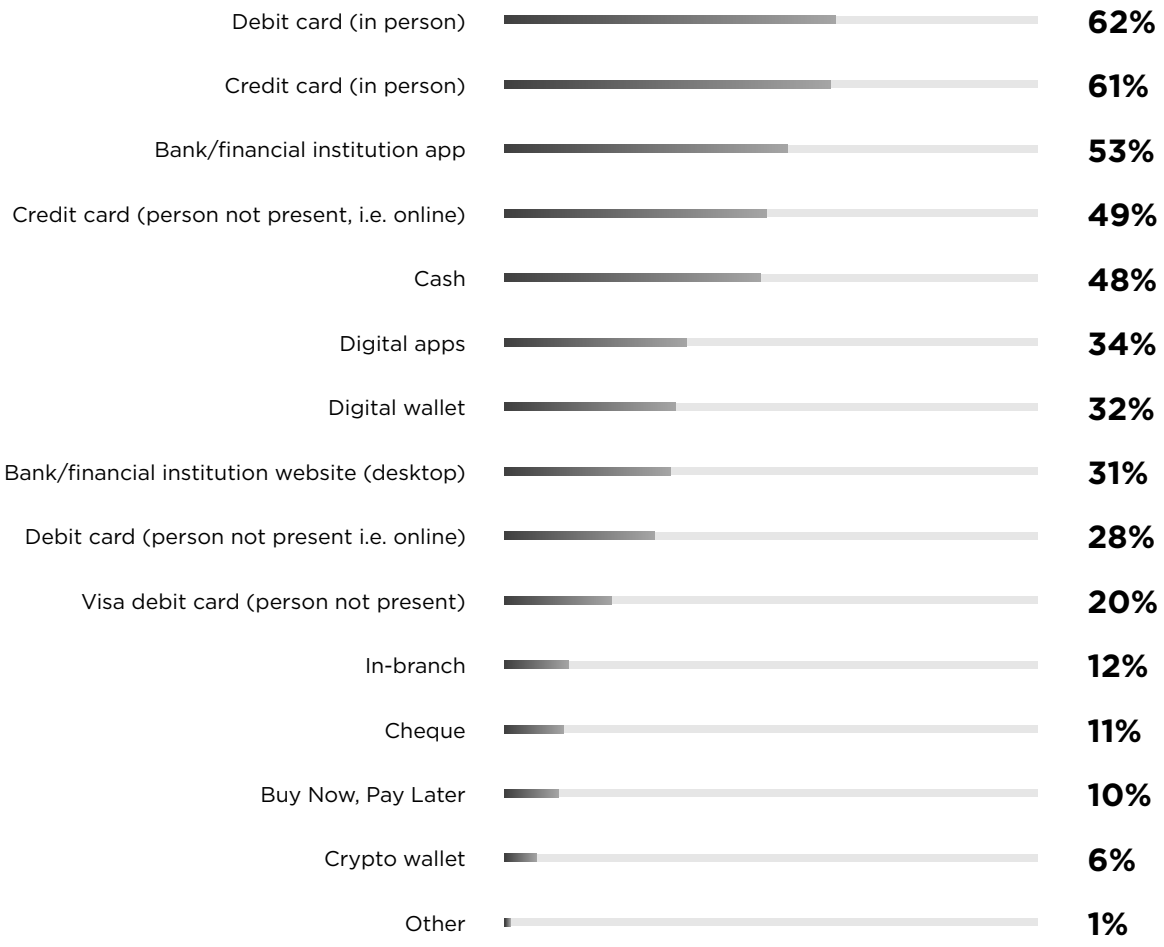
What kind of financial institutions do you use to make payments?

Multiple selections permitted



Which of the following do you frequently use to make payments?

Multiple selections permitted



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